

Meridian Fabrication — Q1 2025 Covenant Package — Intake Readout

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Borrower: Meridian Fabrication LLC · **Period:** TTM ended 3/31/2025 · **Package received from:** Sarah (RM)

1. What's in the package

Six documents received; classified on intake (all high confidence):

Document	Type	Disposition
meridian_covenant_compliance_certificate_Q1-2025.pdf	Covenant compliance certificate	Extracted
meridian_financial_statement_Q1-2025.pdf	Financial statement (unaudited, mgmt-prepared)	Extracted
meridian_ar_aging_2025-03.pdf	A/R aging report	Extracted
meridian_management_representation_letter.pdf	Management representation letter	Extracted
meridian_certificate_of_insurance.pdf	Other (ACORD 25 — misfiled)	Skipped — not part of covenant package
meridian_guarantor_personal_financial_statement.pdf	Guarantor personal financials	Refused on intake (\$2.1) — never sent to a model

2. Do the ratios reconcile? — No.

The certificate certifies on **Adjusted EBITDA**; recomputing on the **unadjusted (GAAP)** financials breaches both tested covenants, and the bank's own loan-performance data agrees with the recompute.

Metric	Threshold	Certified	Recomputed (GAAP)	Bank loan_performance (2025-05)
DSCR	≥ 1.20	1.23	1.03	1.03
Leverage	≤ 4.00	3.76	4.50	4.50

- **DSCR** recomputed 1.03 = GAAP EBITDA 10,100 [financial_statement:ebitda_gaap] ÷ debt service 9,800 [financial_statement:total_debt_service]; certified 1.23 [covenant_compliance_certificate:certified_dscr]; bank loan_performance 1.03 [check_covenant_compliance, 2025-05]. (‘cross_validate_covenant’)
- **Leverage** recomputed 4.50 = funded debt 45,450 [financial_statement:total_funded_debt] ÷ GAAP EBITDA 10,100 [financial_statement:ebitda_gaap]; certified 3.76 [covenant_compliance_certificate:certified_leverage]; bank loan_performance 4.50 [check_covenant_compliance, 2025-05]. (‘cross_validate_covenant’)

EBITDA add-back bridge — what moves the ratios

Adjusted EBITDA 12,100 [covenant_compliance_certificate:adjusted_ebitda] vs GAAP EBITDA 10,100 [financial_statement:ebitda_gaap] = **2,000 of add-backs** [covenant_compliance_certificate:addbacks]:

- Non-recurring legal & restructuring (\$1.01 permitted): 800
- Owner / management compensation normalization: 700
- Non-cash equity compensation: 300
- Pro-forma run-rate cost savings (run-rate basis): 200

Applying these 2,000 of add-backs is what carries both ratios from the GAAP figures to the certified figures. The add-back support is for the RM to review.

3. What's missing or outstanding

Missing documents (per Feb-14 follow-up list):

- Aerospace purchase order — not received.
- Cash-flow projections — not received.

Outstanding data element: A/R aging customer names — the 60–90 day automotive balances are unnamed [ar_aging_report:customer_names_present = false].

Quality flags:

- Management representation letter is **unsigned** [management_representation_letter:signed = false] — not executed; cannot be relied on as submitted.
- A/R aging present but **customer names withheld** [ar_aging_report:customer_names_present = false].

§2.1 refusal: Guarantor personal financial statement was refused on intake and never read.

Sources & basis

All figures cited to document + field; ratios recomputed deterministically by `cross\_validate\_covenant`; completeness/quality by `review\_package`; classification/extraction by the document-intelligence tools. Bank corroboration from `check\_covenant\_compliance` (loan_performance, 2025-05). The covenant-test results are stated as facts (§4.2); the credit judgment and the add-back review are the RM's.

Reliability: Grounded · 0 issues (Requires RM review before client/credit-file use — §4.3)